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(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

May 13, 2004

DOCKET NO. 03-08

TRANS-NET, INC.

v.

FESCO OCEAN MANAGEMENT LIMITED

**DISMISSAL OF COMPLAINT WITH LEAVE TO AMEND;
MOTION FOR SUMMARY JUDGMENT DENIED
WITHOUT PREJUDICE AS BEING PREMATURE**

Respondent FESCO Ocean Management Limited (FOML) has filed a Motion to Dismiss and Motion for Summary Judgment to which complainant Tram-Net, Inc. (Tram-Net) has replied. In addition, Tram-Net asked for permission to file a supplemental reply to FOML's Motions based upon new materials. Permission was granted and Tram-Net filed its Supplemental Reply. FOML was also granted permission to file its own Supplemental Response to Tram-Net's supplemental reply and the matter is before me for ruling on FOML's Motions. As explained below, the case has

become somewhat complicated by changes in events as well as by reason of the Commission's rulemaking proceeding considering amendment or clarification of relevant regulations. After careful consideration of these pleadings and discussions with counsel, I have decided that the original complaint has become obsolete and overtaken by events and is no longer suitable as the legal means to litigate the issues as well as suffering from other legal infirmities. However, in view of the Commission's liberal responsibility as a regulatory agency charged with the duty of enforcing the Shipping Act of 1984 and is not a court, dismissal of the obsolete complaint should be without prejudice to refiling a properly drafted complaint that reflects current realities and places respondent FOML on proper notice of a viable claim under that law. It is now necessary to provide a detailed history of this case so that the reasons for this ruling can become evident.

Background of the Case

On August 1, 2003, a complaint tiled by Tram-Net was served on respondent FOML. The basis of the complaint was Tram-Net's challenge against a certain arrangement between FOML and P & O Nedlloyd Limited or P & O Nedlloyd B.V. or both (PONL) by which PONL vessels would carry cargoes from U.S. West Coast Ports to Busan, Korea, at which point they would be transshipped to ships that were chartered to FOML by its parent FESCO for movement to ports in Russia. The entire movement was covered by a tariff published by FOML. Tram-Net alleged that this arrangement between FOML and PONL was nothing more than exclusive space chartering which is required to be filed with the Commission. FOML, however, claims that the arrangement

was a non-exclusive transshipment agreement that is exempt from filing pursuant to 46 C.F.R. 535.306(a).

Although the main claim and basis of Tram-Net's complaint is that the above arrangement was not filed with the Commission and that FOML thereby violated section 5 of the 1984 Act, Tram-Net alleged that FOML committed additional violations of law, even implicating other carriers. Thus, among other things, Trans-Net alleged that FOML regularly utilized or chartered space of vessels operated by PONL and other members of the Grand Alliance, in violation of that Alliance's agreement, which requires unanimous approval of all its members, that FOML chartered space on different vessels operating between Korean ports and Russian ports, that FOML offered an eastbound service from Russian to U.S. West Coast ports that was not advertised, that FOML's activities and practices under the FOML-PONL agreement comprised a device to circumvent tariff publication requirements and enabled FOML to offer and provide services designed to mislead the public, that FOML did not own or operate any vessels that called directly at ports in Russia or Korea or at ports on the U.S. West Coast. Finally, Trans-net alleged that FOML's activities and practices under the FOML-PONL agreement "comprised a device to drive out competition," threatened Trans-Net's ability to continue serving the U.S. West Coast-Russian Trade, which Tram-Net has allegedly served for four years, and that such activities "were, and continue to be, the proximate cause of harm to Trans-Net." In all, Tram-Net alleged that because of the alleged foregoing activities by FOML,

FOML has violated sections 5, 10(a)(2), 10(d)(1) of the 1984 Act and 46 C.F.R. 535.901.’ Trans-Net asked the Commission to issue a cease and desist order and to order FOML to pay reparations (money damages) for the alleged injury caused to Trans-Net by such violations, including interest and attorney’s fees, plus order other proper relief

In lieu of filing an answer to the complaint, FOML filed a Motion to Dismiss and Motion for Summary Judgment, which filing is permitted by 46 C.F.R. 502.62(a). FOML totally disagrees with Trans-Net’s claim that the FOML-PONL arrangement should have been filed with the Commission and argues that because FOML is an ocean common carrier operating in the U.S./Australia-New Zealand trade, it is allowed under the Commission’s regulations to serve the U.S. West Coast-Russia trade by use of a non-exclusive transshipment agreement in which PONL carried FOML containers on an “as-needed/as-available” basis from the U.S. West Coast to **Busan**, Korea, and

‘Section 5(a) of the 1984 Act states in pertinent part:

(a) FILING REQUIREMENTS-A **true** copy of **every** agreement entered into with respect to an activity described in section 4(a) **or** (b) of this Act shall be filed with the Commission, except agreements related to transportation to be **performed** within **or** between foreign countries.

Section 10(a)(2) of the 1984 Act states:

(a) **IN GENERAL**—No person may—(3) operate under an agreement required to be filed under section 5 of this Act except in accordance with the terms of the agreement or **any** **modifications** made by the Commission to the agreement.

Section 10(d)(1) of the 1984 Act states in pertinent part:

(1) No **common** carrier. may fail to establish, observe, and enforce just and reasonable regulations and practices relating to **or** connected with receiving, handling, storing, or delivering property.

46 C.F.R. 535.901 provides:

Failure to file. Any person operating under an agreement involving activities subject to the Act pursuant to sections 4 and 5(a) of the Act and this part and not exempted pursuant to section 16 of the Act or excluded from filing by the Act, which has not been filed and has not become effective pursuant to the Act and this **part** is in violation of the Act and of this part and is subject to the civil penalties set forth in section 13(a) of the Act.

FOML, which is the publishing carrier for the entire through service, thereafter carried the cargo from Busan, Korea to Russia on space it obtained through a space charter agreement with its parent company, FESCO. This alleged transshipment agreement was published as required in the FOML tariff.

FOML describes in greater detail how the FOML-PONL agreement worked. First, citing the Commission's decision in *Ocean Common Carriers Subject to the Shipping Act of 1984*, 28 S.R.R. 1414, 1418(2000), FOML argues that if a common carrier operates a vessel in one U.S. trade, it can act as an ocean common carrier in all US. trades. FOML explains that under the arrangement in question, it was the publishing carrier for the entire through movement, obtaining space from PONL, which was the Originating Carrier, for the transportation from the U.S. West Coast to the transshipment point, Busan, South Korea, and FOML, as the destination carrier, transported the cargo on vessel space chartered to FOML from Busan to Russia by FOML's parent company FESCO, which operates vessels between Busan and Russia in cooperation with Hyundai Merchant Marine Lines. The arrangement was published in FOML's Far East Freight Tariff No. 4 in Rule 13. FOML maintains that only PONL handled FOML containers under the alleged transshipment agreement and that other members of the Grand Alliance were informed of this activity but voiced no objection. Moreover, FOML advised both the Commission's Bureau of Enforcement and the Commission's Director of the Bureau of Trade Analysis of its activities with no subsequent action taken by the Commission's staff questioning the legality of FOML's operations.

Citing principles of law relating to motions for dismissal and for summary judgment, FOML argues that there is no valid claim of violation of the 1984 Act or evidence to support such claim. Specifically, argues, FOML, there is no violation of section 5 or section 10(a)(2) shown by the

complaint because the FOML-PONL arrangement was nonexclusive and thus exempt from tiling. As to section 10(d)(1) of the 1984 Act, argues FOML, there are no specific allegations as to how that law has been violated, only a general allegation tracking the statutory language. Furthermore, argues FOML, it is not shown how the allegations that FOML was trying to circumvent tariff publication requirements, mislead the public, and prevent the Commission from exercising its statutory duty of oversight, or that FOML was trying to drive out competition and threaten Tram-Net's ability to continue serving the U.S. West Coast-Russia trade are related to the specific language of section 10(d)(1). Moreover, as to Trans-Net's claim for reparations, FOML argues that violation of section 5, which requires tiling of certain agreements, does not as a matter of law support a claim for reparations because the failure to tile an agreement is not the proximate cause of monetary injury to a complainant, according to Commission case law.

FOML claims that its through-service arrangement, as described above, qualified as a non-exclusive transshipment agreement that did not have to be tiled under 46 C.F.R. 535.306(a) even though that regulation requires both the originating and destination carriers to serve ports "by direct vessel call." FOML concedes that on the U.S. West Coast to Busan leg, the vessels involved in the through service are not owned or operated by FOML but by PONL and, similarly, in the Busan to Russian leg, the vessels are owned or operated by FESCO, FOML's parent. However, argues FOML, under the rule established by the Commission in *Ocean Common Carriers Subject to the Shipping Act of 1984*, cited above, 28 S.R.R. at 1418, since FOML is an ocean common carrier in another U.S. trade, it qualifies as an ocean common carrier in all U.S. trades and in its through service between U.S. West Coast ports and Russian ports via Busan, Korea, it is unquestionably providing a "direct vessel call" so as to satisfy that term in 46 C.F.R. 535.306(a). In other words,

under FOML's arrangement with PONL and FESCO, shippers are provided with direct vessel calls at the port of origin, port of transshipment and port of destination under FOML's published tariff establishing a through service, even though the vessels making these port calls are owned or operated by other carriers, not by FOML. FOML argues that no one could question the ability of FOML under law to offer a through service from U.S. ports to a South Pacific Island with transshipment at an Australian port if FOML were the originating carrier as well as the publishing carrier but utilized vessel space allocated to FOML under a separate carrier agreement from another carrier on the U.S. to Australia leg and thereafter transshipped the cargo to a carrier operating only between Australia and the South Pacific Island. The only difference *from* the instant arrangement, argues FOML, is that in the former arrangement, FOML is the Originating and Publishing carrier while in the instant situation, FOML is the Destination and Publishing carrier. FOML argues that the exemption given by 46 C.F.R. 535.306(a) does not specify that the Origin Carrier or the Destination Carrier must be the actual physical operator of the vessels.. According to FOML, the regulation only requires that the various ports be served by a vessel call and that the Commission recognized that ocean common carriers "frequently use chartered space from the US. for containers that are then transshipped at a foreign port to another service." FOML Motion to Dismiss at 8, citing *Ocean Common Carriers Subject to the Shipping Act of 1984*, cited above.

FOML describes its through service arrangement with PONL and FESCO in greater detail, arguing that the arrangement was non-exclusive and that both FOML and PONL were ~~free~~ to enter into other such arrangements. For example, FOML has another such arrangement with another carrier, Westwood Shipping Company, which is noticed in the FOML tariff. FOML supports ~~this~~ claim with an affidavit of Mr. Aspi Rostami, FOML's Vice-President. Moreover, FOML disputes

Trans-Net's allegations that FOML is also operating an eastbound through service which FOML is not advertising, claiming that all that PONL is carrying eastbound are empty containers. Also, FOML denies that it is acting improperly with regard to Trans-Net's allegation that PONL provides memo bills of lading to FOML showing FESCO Shipping Agencies North America in the shipper box because FOML and PONL are in a carrier-to-carrier relationship and the bills of lading are merely a record that the carriage has taken place. FOML also asserts that all members of the Grand Alliance were aware of the FOML-PONL arrangement, that the FOML-PONL agreement was provided to the Commission's Office of Agreements, which did not advise that the agreement had to be filed, and that the existence of the agreement was published in FOML's tariff, which tariff also fully informed shippers as to what vessels will carry FOML's containers. FOML concludes that FOML is an ocean common carrier that operates vessels in the U.S./Australia-New Zealand trade, and that lawfully participated as an ocean common carrier through a non-exclusive transshipment agreement with PONL and a space charter agreement with its parent, FESCO. Consequently, FOML argues that there are no remaining issues of material fact and no factual basis to Trans-Net's complaint so that it should be dismissed and summary judgment should be issued for FOML.

Trans-Net's original reply to FOML's Motions vigorously disputes FOML's contentions and argues that a fully developed record will reveal, among other things, that the FOML-PONL agreement was not a non-exclusive transshipment agreement but in reality was a space charter agreement. Trans-Net focuses on its contention that under the subject agreement FOML did not operate vessels that called at the ports involved. According to Trans-Net, chartering space on vessels of another carrier, as FOML did with respect to PONL and with respect to FESCO on the **Busan-to-Russian** leg of the through service, did not qualify as "direct vessel calls," which the Commission's

regulation (46 C.F.R. 535.306(a)) requires if a through service arrangement is to qualify as a non-exclusive transshipment agreement exempt from tiling under the regulations cited. Tram-Net argues that the issue whether a carrier that charters space on vessels of other carriers to perform a through service such as FOML's service from U.S. West Coast ports to Russian ports with transshipment at Busan, Korea is serving these ports via "direct vessel calls" as the regulation appears to require expressly, is an issue of first impression that requires a full record not suitable for summary judgment. Moreover, Tram-Net argues that the arrangement relating to the Busan-to-Russia leg of FOML's through service was not even a space charter agreement with a carrier such as FESCO that operates only between foreign-to-foreign ports (Korea and Russia) and is therefore outside Commission jurisdiction. Trans-Net thus characterizes FOML's through service as "a series of charters and feeders." The Busan-to-Russia leg was further complicated by the fact that FOML allegedly chartered vessel space from FESCO which itself obtained vessel space from another carrier. Again, according to Trans-Net, FOML did not operate vessels making calls at the Russian or Korean ports. To further complicate the matter, Trans-Net alleges that even on the U.S. West Coast-to-Busan leg, FOML was chartering vessel space not merely from PONL but from other carrier members of the Grand Alliance, e.g., OOCL. Also, even on the Busan-to-Russia leg, according to Tram-Net, FOML obtained or chartered space from third carriers such as Sakhalin Shipping Company. These various third-party arrangements, adds Trans-Net, are not tiled with the Commission.

Aside from its allegations regarding FOML's chartering from FESCO and third carriers on either the U.S.-to-Korea or Korea-to-Russia legs, Trans-Net disputes FOML's claim that FOML does not offer or provide regular eastbound service from Russian Far East ports to the United States West

Coast. Tram-Net furnishes evidence that “FOML has advertised an eastbound service of broad application.”

As to FOML’s argument that the Commission’s staff was folly aware of the FOML-PONL arrangement and took no action against FOML, Trans-Net argues that this fact does not warrant any conclusion about the Commission’s or staffs conclusions that might not be obvious. Trans-Net cites *Possible Unfiled Agreement Among A.P. Moller-Maersk Line, P & O Nedlloyd Limited and Sea-Land Service, Inc.*, 28 S.R.R. 396,401 (1998) (ALJ 1998); Notice Not to Review, August 4, 1998. (Tram-Net Reply at 10.) Trans-Net argues that FOML’s communications with Commission staff do not show that the Commission or its staff agreed with FOML’s position but only indicate that FOML was unwilling to provide information requested by FMC staff.

Trans-Net summarizes its views of FOML’s Motions, stating (*Id.* at 11):

FOML’s Motions accordingly portray a transportation arrangement that does not accord with all the facts and that rely on material facts genuinely in dispute. (Footnote omitted.) The actual fact pattern establishes that FOML is engaged in a series of space charter arrangements and feeder ship arrangements. (Record citation omitted.) The facts further show that one or more of these arrangements is with carriers not subject to Commission jurisdiction so that the Commission cannot exercise regulatory surveillance over the complete “non-exclusive transshipment agreement” purportedly established by FOML. The **Busan-Russia** portion of that arrangement is provided by carriers, such as FESCO and SASCO which are not subject to the Shipping Act, and as such were removed by the Commission as permissible participants in a true non-exclusive transshipment agreement. (Footnote omitted.)

**Trans-Net's Argument That the FOML-PONL Arrangement
Lacks Direct Vessel Calls and is Therefore Not an Exempt
Transportation Agreement and that FOML is Not Even
An Ocean Common Carrier as Regards the Subject Service**

A major issue in this case, as noted above, is the issue whether the subject FOML-PONL agreement can be considered to be a non-exclusive transshipment agreement because FOML neither owned nor operated vessels on either leg of the through service between US. West Coast ports and ports in Russia. Trans-Net traces the history of the regulations relating to exempted non-exclusive transshipment agreements and other regular fileable transshipment agreements and concludes that the Commission intended that two carriers participating in a non-exclusive transshipment agreement must both operate vessels that call at the origin, intermediate, and destination ports directly. Moreover, according to Trans-Net, the space charter agreement between FOML and FESCO on the Busan-to-Russia leg of the through service is outside Commission jurisdiction and also its oversight because not only did FOML not operate vessels on that leg but also FESCO is a foreign-to-foreign carrier outside Commission jurisdiction. Therefore, the logical consequence of Trans-Net's argument is that although FOML may offer a through service from US. West Coast ports to ports in Russia with transshipment at Busan, Korea and publish a tariff for this service, FOML is not even a vessel-operating common carrier and cannot even enter into an agreement with PONL, an ocean common carrier subject to FMC jurisdiction, much less an agreement with FESCO, a foreign carrier operating outside of FMC jurisdiction. The question then remains as to how FOML can offer a through service with transshipment at Korea if it is not even to be considered an ocean common carrier because it neither owned nor operated a vessel in the subject through service. If Trans-Net's interpretation of the Commission regulations dealing with non-exclusive transshipment agreements

and regular transshipment agreements is correct, one wonders how FOML could ever operate such a through service under the Shipping Act of 1984, as amended by OSRA.

Trans-Net's Supplemental Reply to FOML's Motions

As mentioned above, I granted Trans-Net's request to file a Supplemental Reply to FOML's Motions based on new materials that Trans-Net had wished to submit for my consideration and, at FOML's request, I allowed FOML to reply to these new materials. After claiming the right to reply to any new matters that FOML might raise in FOML's own supplemental pleading, Trans-Net's new materials consist of arguments by analogy to Commission regulations issued under the Shipping Act, 1916, dealing with tariffs of terminal barge operators in Pacific Slope states and to Customs regulations under the Jones Act. It is argued that these two sources support Trans-Net's argument that the Commission used the words "direct vessel call" in the Commission's non-exclusive transshipment agreement regulations to exclude the type of operation that FOML conducted in regard to its space chartering under the subject through service between U.S. West Coast ports and ports in Russia via Busan, Korea. However, in this Supplemental Reply, Trans-Net acknowledges that FOML has filed a space charter agreement (No. 0 11873) which might have some effect on the instant case but, in any event, this filing would not, according to Trans-Net, affect issues regarding FOML's past conduct. See Trans-Net's Supplemental Reply at 3, footnote.

FOML's final pleading in response to Trans-Net's Supplemental Reply argues that FOML has indeed filed a space charter agreement which I officially notice went into effect on April 26, 2004, that this filing has a significant effect on the issues in the instant case, at the very least mooted

Tram-Net's request for a cease and desist order regarding the previous FOML-PONL agreement. Moreover, FOML argues that Trans-Net should have submitted comments regarding Agreement No. 011873 when that Agreement was publicly tiled.'

**Applicable Principles of Law Regarding
Motions to Dismiss and Motions for Summary Judgment**

FOML argues that this case *is* ripe for dismissal of the complaint and for summary judgment in its favor. Trans-Net argues that there are genuine issues of material fact, that it needs discovery to show them, and that there is no legal impediment on the face of its complaint so as to support a dismissal of the complaint. A brief discussion of the relevant principles of law dealing with motions to dismiss and motions for summary judgment will explain the basis for my ruling. These basic principles are discussed in several cases, some of which are cited by the parties.

Very briefly, a complaint may be dismissed if it is apparent on its face that complainant can prove no set of facts consistent with the allegations that would allow relief under the applicable law. In other words, even if complainant can prove all the facts alleged in the complaint, he can obtain no relief because the law in question gives none. As for motions for summary judgment, these motions look beyond the complaint to see if there is probative evidence under the applicable substantive law, that such evidence conforms to a viable theory under that law, and furthermore if there are genuine issues of material fact that deserve to be resolved by a trial or litigation akin to a

²I officially notice that a FOML/PONL Space Charter Agreement was filed with the Commission as Agreement No. 011873 on March 12, 2004, and that it was allowed to go into effect on April 26, 2004, as permitted by law and the Commission's regulations. As permitted by the Commission's regulation, furthermore, Tram-Net did tile comments on the Agreement but requested that they be kept confidential. See 46 C.F.R. 535603(a). Consequently, FOML would not ~~have been~~ aware of Tram-Net's filing.

trial. However, when ruling upon either a motion to dismiss or a motion for summary judgment, the judge is supposed to view the allegations and the evidence in the light most favorable to the non-moving party, here, the complainant. If a complaint on its face can withstand a motion to dismiss but complainant has no probative evidence, summary judgment can be a valuable tool in avoiding needless trials. In other words, the summary judgment procedure is useful in weeding out baseless claims and defenses and, following a trio of Supreme Court decisions rendered in 1986,³ the summary judgment procedure, previously somewhat discouraged, has been used more frequently by the courts. See the discussions in *McKenna Trucking Co., Inc. v. A.P. Moller-Maersk Line and Maersk, Inc.*, 27 S.R.R. 1045, 1054 *et seq.* (ALJ 1997); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1011, 1014-1017 (ALJ 1999); *International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 577, 578-579 (ALJ 1989). However, although the summary judgment procedure has been used more often since the 1986 Supreme Court decisions, it is still recognized that there are circumstances when issuance of summary judgment may be premature or inappropriate because the issues require a more fully developed record, especially if a complainant has not had an opportunity to obtain evidence. Thus, in 11 *Moore's Federal Practice*, sec. 56.32[6], this authority states at 56-268:

There is long-established doctrine holding that a court may deny summary judgment if it believes further pretrial activity or trial adjudication will sharpen the facts and law at issue and lead to a more accurate or just decision, or where further development of the facts may enhance the court's legal analysis.

³The three 1986 Supreme Court cases were: *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242; *Matsushita Electrical Industrial Co., Ltd. v. Zenith Radio Corp., et al.*, 475 U.S. 574; and *Celotex Corp. v. Catrett*, 477 U.S. 317.

In a footnote following the above quotation, this authority cites *Kennedy v. Silas Mason Co.*, 334 U.S. 249,256 (1948), where the “court exercised discretion to deny summary judgment in case of statutory interpretation because of importance of case and view that trial would better illuminate issues of law and policy.” Elsewhere, this authority comments on the fact that there is still discretion to deny summary judgment in cases such as *Kennedy v. Silas Mason Co.* notwithstanding the 1986 Supreme Court decisions that encouraged greater use of the summary judgment procedure even in complicated cases. See 11 *Moore’s*, sec. 56.32[6] at 56-272-273, in which *Moore’s*, discussing the discretion to deny summary judgment doctrine and one of the 1986 Supreme Court decisions, stated:

However, the discretion to deny doctrine must be regarded as remaining good law. As noted above, the *Anderson v. Liberty Lobby* Court was aware of the doctrine and spoke to the issue. Instead of abrogating the doctrine, the *Liberty Lobby Court* endorsed judicial discretion to refrain from summary judgment notwithstanding the generally favorable attitude toward summary judgment reflected in the Court’s 1986 trilogy. (Footnote omitted.)

Other authorities recognize that issuance of summary judgments is improper in cases where the issues are not only complex or novel but the record has not been adequately developed notwithstanding the three Supreme Court decisions in 1986. Thus, in Schwarzer, Hirsch and Barrans, *Summary Judgment Motions*, 139 F.R.D. 441,480 (1992), the authors state:

In Anderson v. Liberty Lobby, moreover, the Court recognized that there may be cases where there is no manifest material factual dispute but the trial judge nevertheless: “believe[s] that the better course would be to proceed to a full trial,” presumably because in the circumstances of the case a fuller record might afford a more substantial basis for decision. (Footnote omitted.) When a court denies summary judgment on that ground, it is well to inform the parties of its reasons and explain in what respects the record should be augmented.

Among the cases cited by these authors in a footnote is *Anderson v. Hodel*, 899 F.2d 766, 770-771 (9th Cir.1990), where the court vacated a lower court's grant of summary judgment because of an inadequate record and a difficult question of interpretation of a complex statute. The court did this despite the three 1986 Supreme Court decisions which the court discussed.

The Commission or its judges have themselves declined to issue summary judgments or have vacated early rulings because of inadequate records when motions for summary judgment or for rulings have been tiled early in the cases or when complainant has not yet had an opportunity to obtain evidence *through* discovery. See *International Freight Forwarders & Custom Brokers Association of New Orleans v. LASSA* (Motions for Dismissal or For Summary Judgment Denied Without Prejudice, 27 S.R.R. 392 (ALJ 1995) (complainant had not yet had opportunity to obtain evidencethroughdiscovery); *Agreement No. T-2880, as Amended (Pouch Terminal)*, 14S.R.R. 1567 (FMC 1975) (ALJ ruling finding jurisdiction vacated as being premature); *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 27 S.R.R. 823 (FMC 1996) (early ruling of ALJ regarding scope of Commission's jurisdiction vacated as being premature); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, cited above, 28 S.R.R. 1011 (ALJ 1999) (summary judgment for respondent denied without prejudice; complaint not dismissible on its face; complainant allowed to use discovery to obtain evidence); *McKenna Trucking Co., Inc. v. A.P. Moller-Maersk*, cited above, 27 S.R.R. 1045 (ruling on summary judgment motion deferred pending completion of discovery).

**Application of the Foregoing
Legal Principles to the Instant Situation**

Before ruling on FOML's Motions, I must scrutinize Tram-Net's complaint and view it in the light most favorable to Tram-Net. Moreover, I recognize the fact that Trans-Net has not yet obtained information through discovery which it has commenced. I must also be cautious that I not act too soon to dismiss the complaint or to issue summary judgment on this limited record nor should I wait too long to allow the parties to engage in costly litigation if it should have been aborted earlier.

My task is made somewhat easier by the fact that the original FOML-PONL agreement that led to the filing of Trans-Net's complaint has been superseded by the filing of a new Space Charter Agreement between FOML and PONL, Agreement No. 011873, which went into effect on April 26, 2004.⁴ In its Supplemental Reply filed on April 7, 2004, Trans-Net acknowledges the filing of Agreement No. 011873 but states that "Tram-Net is at a disadvantage in discussing that space charter agreement or in addressing the impact the proposed space charter agreement might have on the issues enumerated in Trans-Net's Complaint." (Tram-Net's Supplemental Reply at 2-3.) Nevertheless, Trans-Net argues that it "reserves its right (and due process would so require) to make a responsive submission at a future date to ensure the development of a complete record prior to the inclusion of and/or reliance on the recently filed space charter agreement as a basis for making findings of fact or determining issues in this Complaint." (*Id.* at 3.) At the time Trans-Net filed its Supplemental Reply (April 7, 2004), the Commission had not yet acted on Agreement No. 011873 and Trans-Net argued that "the final terms of the space charter agreement will not be known until final Commission action is taken on the agreement. It therefore is premature to assess that

⁴I officially notice this fact. See 46 C.F.R. 502.226(a).

agreement's impact on this case. In any event, the proposed space charter might govern prospective rights of FOML and not issues of its past conduct towards Trans-Net.” (*Id.* at 3, footnote.) Consequently, not only do I have a limited record now before me but a major event has occurred, the withdrawal of the original FOML-PONL agreement that triggered the tiling of Trans-Net's complaint. Furthermore, Trans-Net asserts that this new filing may have a significant impact on its case and suggests that due process entitles it to consider such impact and “make a responsive submission at a future date to ensure the development of a complete record prior to the inclusion of and/or reliance on the recently tiled space charter agreement as a basis for making findings of fact or determining issues in this Complaint.” (Trans-Net's Supplemental Reply at 3.) I therefore believe that I should not attempt to rule on FOML's Motion for Summary Judgment without the benefit of an updated amended complaint that will incorporate the change in fact and, it is hoped, will clarify the issues raised in the original complaint as well as framing any new issues that stem from the Commission's allowing the new agreement to go into effect.

The rules of pleading in the courts and, even more so, before administrative agencies like the Commission are extremely tolerant of inartfully drafted or unclear complaints. Thus, Federal Rule 8 only requires that a complaint “shall contain (1) a short and plain statement of the grounds of the claim showing that the pleader is entitled to relief. .” A pleader does not have to plead its evidence in the complaint and the purpose of a complaint is merely to give fair notice to a defendant. The defendant can ascertain details by use of discovery or possibly by ‘riling a motion for a more definite statement under Federal Rule 12(e). See *Swierkiewicz v. Sorema N.A.*, 534 U.S. 506, 512-514 (2002) (liberal pleadings rules; complaints need only give fair notice of the claim and the grounds on which it rests; defendant can use liberal discovery rules and summary judgment motions

to define disputed facts and issues and dispose of unmeritorious claims). The Court also opined that “[i]f a pleading fails to specify the allegations in a manner that provides sufficient notice, a defendant can move for a more definite statement under Rule 12(e) before responding.” (534 U.S. at 514.) The Court also suggested that “claims lacking merit maybe dealt with through summary judgment under Rule 56.” (*Id.*) In a similar vein, the court in *Shah v. Inter-Continental Hotel Chicago Operating*, 314 F.3d 278 (7th Cir. 2002), after discussing the liberal pleading requirements, reversed a lower court judge who had dismissed a complaint and suggested that the defendant could have used contention interrogatories or even that the judge could have acted on his own to require supplemental legal memoranda without requiring the defendant to be burdened with responding. Although the court held that dismissal of the complaint was premature, it stated (314 F.3d at 283):

But we emphasize that the defendant is entitled to be supplied by the plaintiff one way or another with a road map of the plaintiffs suit so that he can know how to defend itself (sic). We have suggested that the simplest way to do this is either for the judge to ask the plaintiff for a legal memorandum or for the defendant to serve the plaintiff with a contention interrogatory.

The Commission, of course, treats complaints in the same liberal way and allows respondents to use discovery to flesh out unclear complaints that lack detail. *See, e.g., International Association of NVOCCs v. ACL*, 21 S.R.R. 884, 892-893 (ALJ 1982); same case, 24 S.R.R. 1079, 1086 (ALJ 1988); *KKK v. International Exchange*, 28 S.R.R. 1411, 1412 (ALJ 2001); *Holt Cargo Systems, Inc. v. Delaware River Port Authority*, 27 S.R.R. 905, 911-912 (ALJ 1996); *Ariel Maritime Group v. New York Shipping Association*, 24 S.R.R. 1608, 1609 (ALJ 1989) (complaints in administrative and court proceedings not required to set forth details and specifics; such matters can be brought out by means of the discovery process).

It is obvious to this judge that the complaint, as originally filed, has been overtaken by events, no longer reflects the current situation, and needs revision before it can be deemed suitable to place FOML on reasonable notice as to how FOML should defend. First, even if the original alleged exempted non-exclusive FOML-PONL transshipment agreement were still in effect, the Commission has begun rulemaking proceeding which may clarify or amend the relevant regulations dealing with exclusive and non-exclusive transshipment agreements. See Docket No. 03-15 - *Ocean Common Carrier and Marine Terminal Operator Agreements Subject to the Shipping Act of 1984*, Notice of Proposed Rulemaking, November 24, 2003 (68 Fed. Reg. 67510, December 2, 2003). It is possible that the Commission may remove the exemption from filing for agreements like the original FOML-PONL agreement, assuming that the exemption applies to such agreements under the current regulations. If so, Trans-Net's request for a cease and desist order against FOML's operating under that agreement would not have become moot had the original FOML-PONL agreement still been in effect. Despite Trans-Net's arguments to the contrary, its claim for past money damages (reparations) because of FOML's failure to file that original agreement might also be subject to dismissal because of Commission case law holding that failure to file agreements by itself is not the proximate cause of monetary injury to a complainant. However, the question whether that original FOML-PONL agreement should have been filed has now become somewhat academic because that agreement has been superseded by the new FOML-PONL space charter agreement (No. 011873) which the Commission allowed to go into effect on April 26, 2004.

In its Supplemental Reply, Trans-Net acknowledges the filing of the new agreement and reserves its rights to comment on any arguments that FOML might make with regard to that agreement. Trans-Net states, however, that it would be "premature to assess that agreement's impact

on this case” because the Commission had not yet taken any action on the agreement at the time Trans-Net tiled its Supplemental Reply. In this judge’s opinion, the fact that FOML filed its new agreement cannot be ignored if the Commission is to have a full and complete record on which to resolve the dispute between Trans-Net and FOML. In its original complaint, among other things, Trans-Net alleged that FOML’s operations under its original agreement by which FOML offered a through service competing with Trans-Net in the U.S. West Coast - Russia trade was causing Trans-Net monetary harm. However, it appears that FOML intends to continue operating this competing service in the same trade under a similar or virtually identical arrangement with PONL and with FESCO on the Busan-to-Russia leg of the through service. Unless Trans-Net no longer believes that FOML’s competing through service is somehow operating in violation of the 1984 Act and causing Trans-Net financial injury, Trans-Net should file a revised complaint to reflect this significant change in events. Obviously if Trans-Net still wants the Commission to order FOML to cease and desist from operating its through service, it needs a new complaint because FOML is no longer operating under the previous agreement that was the subject of the original complaint. However, if Trans-Net files an amended complaint, there is a fundamental legal issue that must be resolved that goes to the question whether FOML can offer a through transshipment service in the U.S. West Coast-to-Russia trade because it does not own or operate any ships in that particular service and therefore may not be an “ocean common carrier” within the meaning of the 1984 Act and the Commission’s regulations and furthermore may not be making “direct vessel calls” at the various ports served as required by some of the Commission’s relevant regulations. As I have discussed above, if Trans-Net’s interpretation of the Commission’s regulations is correct, FOML cannot arguably even be considered to be an ocean common carrier as regards its through service in the

subject trade because FOML does not own or operate the vessels in either the U.S. West Coast-to-Busan leg or the Busan-to-Russia leg. Furthermore, as regards its through service, then FOML arguably would be disabled from filing not only a transshipment agreement but any space chartering agreement as well because all the regulations dealing with these types of agreements specify that an “ocean common carrier” must be involved. See 46 C.F.R. 535.104(gg) (space charter agreement); 535.104(ii) (regular transshipment agreement); 535.306(a) (non-exclusive transshipment agreement).

The question whether FOML can be considered to be an ocean common carrier as regards the subject through service arrangement is one of law, not of fact. Therefore, the principles of law regarding summary judgment, which require judges to construe allegations of fact in the light most favorable to **nonmovants**, i.e., complainant, do not apply when the question is a pure question of law. Such a question is resolved not by resolving facts but by following case law involving principles relating to statutory construction and interpretation. Furthermore, those principles regarding summary judgment which sometimes require a better evidentiary record on which to issue summary judgment in complex or novel cases, such as the instant one, do not necessarily apply when the threshold question is one of statutory interpretation or interpretation of a Commission regulation. If Trans-Net files an amended complaint that adequately describes the current situation as well as the previous one under the superseded FOML/PONL agreement, it will be necessary for this judge to decide the purely legal issue. However, absent a compelling reason, I find that it would be premature of me to decide this threshold issue on the basis of the original complaint which is devoted to the earlier superseded FOML-PONL agreement. Moreover, I do not yet know exactly if Trans-Net might allege violations regarding the new agreement, i.e., whether Trans-Net will introduce new issues regarding the lawfulness of that new agreement.

**Subsidiary Issues in the Original
Complaint That Need Clarification**

As discussed, the main issue raised by the original complaint is that FOML operated under an agreement that was not filed with the Commission as required by section 5 of the 1984 Act and that FOML operated under an unfiled agreement contrary to section 10(a)(2) of the Act and to the Commission's relevant regulation (46 C.F.R. 535.901). If Trans-Net files an amended complaint that repeats its allegations regarding the superseded agreement and makes new allegations regarding the new agreement and even if the threshold legal issue regarding the earlier agreement is decided in FOML's favor, namely, that the earlier agreement was exempted from filing, there will remain other subsidiary issues, namely, whether FOML violated law in its operations under its earlier agreement or will be violating law even under its new tiled agreement.

In its Motions, FOML argues that in the complaint Trans-Net makes general allegations that FOML has violated section IO(d)(l) of the Act by failing to establish and maintain reasonable regulations and practices in connection with receiving, handling and delivery of property, that FOML's activities under the earlier agreement comprised a device to circumvent requirements for tariff publication and agreement filing and to enable FOML to offer and provide services designed to mislead the public and to prevent the Commission from exercising its statutory oversight of such conduct and activity. Also, Trans-Net alleged that FOML's activities were a device to drive out competition and to threaten Trans-Net's ability to continue serving the U.S. West Coast-Russia trade which it has served for four years. In the complaint, Trans-Net also alleged that FOML was utilizing vessels operated by members of the Grand Alliance other than PONL without the approval of the Grand Alliance members and was utilizing vessels other than those advertised in its through service.

Trans-Net also alleged that FOML was offering an eastbound service that was not advertised, that PONL regularly issued bills of lading to FESCO Agencies showing that entity as “shipper,” and that FOML held itself out as a de facto member of the Grand Alliance and sought to enjoy the benefits of the Grand Alliance membership without assuming concomitant obligations. Trans-Net alleged that all the above “activities and practices were, and continue to be, the proximate cause of harm to Trans-Net.” (Complaint at 11.)

The above allegations are a mixture of factual allegations and conclusions. They relate to alleged operations of FOML under its previous agreement and may or may not have constituted violations of section 10(d)(1) or other laws regardless of whether the underlying FOML-PONL agreement, now withdrawn, had to be filed with the Commission. FOML has explained and, in effect, denied violations of law in its pleadings. However, FOML has as yet not **filed** a formal answer to the complaint addressing each of the many allegations. It may be that Trans-Net, which has served discovery requests on FOML and on non-parties, can flesh out these bare allegations with evidence if its discovery requests are answered. Furthermore, as I discussed above, the Commission and courts are very tolerant of inartfully drafted complaints and frown upon dismissal of such complaints, suggesting to judges that respondents can ascertain the details of the allegations and defend themselves by discovery or even by filing motions for more definite statements and ultimately, by motions for summary judgment. See *Swierkiewicz v. Sorema N.A.*, cited above, 534 U.S. at 512-514; see also *Shah v. Inter-Continental Hotel Chicago Operating*, cited above, 314 F.3d 283 (trial judge should not have dismissed badly drafted complaint but could have requested legal memorandum or defendant could serve contention interrogatories). As also discussed above, it has been the practice in Commission cases to allow respondents to use discovery

to fill out bare allegations in complaints because motions for more definite statements in lieu of discovery are disfavored. *See, e.g., Eye Care Int'l v. Underhill*, 92 F. Supp. 2d 1310, 1316 (M.D. Fla. 2000); *Cellars v. Pacific Coast Packaging, Inc.*, 189 F.R.D. 575,578 (N.D. Cal. 1999) (motions for more definite statements are disfavored and are rarely granted); *In re Triple Screw Marine Towing, Inc.*, 1994 WL at *2 (E.D. La. 1994) (wiser approach is to allow discovery to unearth facts and then press with a Rule 56 motion for summary judgment); *Holt Cargo Systems, Inc. v. Delaware River Port Authority*, cited above, 27 S.R.R. at 911-912. However, the main problem is not whether complainant can prove no set of facts consistent with the allegations in the complaint that would warrant relief under the applicable law nor even whether summary judgment can be issued at least on the fundamental legal question as to the status of the previous FOML-PONL agreement. The problem is that because of the change in circumstances, mainly, the tiling of the new space charter agreement and the otherwise limited record, it would be premature to issue any ruling. Without having the benefit of an amended updated complaint or knowing what new allegations Trans-Net might wish to make in regard to the new tiled agreement, any ruling of mine would be premature even if I were to agree with FOML that it was entitled to operate under its now withdrawn agreement as an exempted non-exclusive transshipment agreement. If I were to so rule, the question remains as to whether Trans-Net suffered actual monetary injury that was proximately caused by FOML's operations under that agreement and such ruling, which would apply to the now withdrawn agreement, may or may not apply to the newly filed agreement.

What is necessary now is for Trans-Net to tile an updated adequate complaint that will enable me to address all the issues pertaining to FOML's past operations under the withdrawn agreement and under its newly filed space charter agreement if Trans-Net believes that FOML is still violating

law. Otherwise I would be ruling on an incomplete record and an outdated complaint. See *International Freight Forwarders & Custom House Brokers Association of New Orleans v. LASSA*, and the four other cases cited above.

As discussed above, if a complaint is deficient in giving notice to respondent, it has been suggested that a respondent may file a motion for a more definite statement but such motions are disfavored. The preferred procedure is for a respondent to ascertain details by means of discovery. However, the presiding judge is authorized to require a complainant to clarify its complaint by way of amendment. See 46 C.F.R. 502.70(a), which states in pertinent part that “[t]he presiding officer may direct a party to state its case more fully and in more detail by way of amendment.” I have already noted some lack of clarity with respect to the original complaint, which, among other things, gives no indication of what kind of monetary injury Trans-Net allegedly suffered, merely alleging that FOML’s failure to file its previous agreement was the proximate cause of some type of injury. I therefore direct Trans-Net, if it chooses to file a new complaint, to be more specific as to what type of monetary injury it alleges to have suffered without quantifying it at present. There is another problem that needs attention, however, relating to the question whether Trans-Net should name respondents other than FOML in its amended complaint.

The Commission's relevant rule regarding "Necessary and proper parties in certain complaint proceedings" is 46 C.F.R. 502.44.⁵ This rule appears to require that a complaint that relates to through transportation by continuous carriage of transshipment must join all carriers participating in such through transportation as respondents. The rule also refers to other carriers or members of tiled agreements who may have to be named as respondents. Trans-Net has alleged that carriers other than FOML have participated in the subject through service and, specifically, that other carrier members of the Grand Alliance may have violated their filed agreement. Indeed, Trans-Net has commenced discovery against all the members of the Grand Alliance who are presently not named as respondents in the complaint.

Trans-Net appears to be seeking monetary and other relief against FOML and no other carriers and, even if other carriers were participating in FOML's through-service arrangement, a complainant is not required to sue all joint tortfeasors even if they all participated in FOML's operations or violated the terms of their filed agreement. *See Temple v. Synthes Corp., Ltd.*, 498 U.S. 5, 7 ("[i]t has long been the rule that it is not necessary for all joint tortfeasors to be named as defendants in a single lawsuit."). Trans-Net does, however, allege that "FOML alone or in concert with other persons has operated under agreements required to be tiled with the Commission under

⁵This rule reads as follows:

§ 502.44 Necessary and proper parties in certain complaint proceedings.

(a) If a complaint relates to through transportation by continuous carriage or transshipment, all carriers participating in such through transportation shall be joined as respondents.

(b) If the complaint relates to **more** than one carrier or **other** person subject to the shipping acts, all carriers or other persons against whom a **rule** or order is sought shall be made respondents.

(c) If complaint is made **with** respect to an agreement filed under section 15 of the Shipping Act, 1916, **or** section 5(a) of the Shipping Act of 1984, the parties to **the** agreement shall be made respondents.

section 5 of the Shipping Act.” and that, if so, FOML and these other persons have violated section 10(a)(2) of the 1984 Act. If Tram-Net intends to pursue this allegation, I note that these other carriers are members of a tiled agreement, the Grand Alliance, and **that** Tram-Net has alleged that these other members allowed PONL and other carriers to furnish vessels without unanimous approval of the Grand Alliance **members**.⁶ I do not rule that Tram-Net must name all carrier members of the Grand Alliance as respondents nor as to whether these other members are necessary parties if Tram-Net is seeking relief only against FOML and the other requirements for naming other carriers as parties are not satisfied. See *Temple v. Synthes Corp., Ltd.*, cited above; *United States v. Bowen*, 172 F.3d 682, 688 (9th Cir. 1999); Federal Rule 19(a).⁷ I only call Tram-Net’s attention to this matter for its consideration.

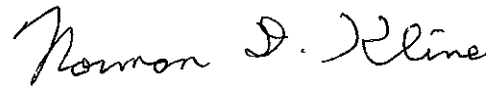
For the reasons given above, FOML’s Motion to Dismiss is granted but with leave to **Trans-**Net to tile an amended complaint. FOML’s Motion for Summary Judgment is denied without prejudice because it is premature. Rulings on outstanding motions to quash subpoenas and on other

⁶**From** the materials that have been submitted it does not appear likely that Tram-Net could prove that the members of the Grand Alliance did not consent to the PONL **arrangement** with FOML **in** the **manner** required by the terms of the Grand Alliance Agreement which appear to be quite flexible. However, a complaint is not to be dismissed because it appears unlikely **that** a complainant **can** prove its *case*. See *Swierkiewicz v. Sorema N.A.*, cited above, 534 U.S. at 515, citing *Scheuer v. Rhodes*, 416 U.S. 232, 236 (1974). As the Court stated: “Furthermore, Rule 8(a) establishes a pleading standard without regard to whether a claim will succeed on the merits. ‘Indeed it may appear on the face of the pleadings that a recovery is **very** remote and unlikely but **that** is not the test.’” *Scheuer*, 416 U.S. at 236

” See also *Holt Cargo Systems, Inc. v. Delaware River Port Authority*, cited above, 27 S.R.R. at 911.

⁷**The** Commission follows **the** federal rules of civil procedure absent a specific Commission **rule** if **the** federal rules are consistent with sound administrative practice. I am authorized to waive 46 C.F.R. 502.44 if the expeditious conduct of business so requires. See 46 C.F.R. 502.10.

discovery matters are deferred pending filing of an amended complaint and responsive pleadings or if circumstances indicate that the time would be ripe for rulings.

A handwritten signature in black ink that reads "Norman D. Kline". The signature is written in a cursive, flowing style.

Norman D. Kline
Administrative Law Judge